

POLICY ON CONTROL OF OUTSOURCED PROCESSES, PRODUCTS, AND SERVICES

Rationale

The University of Mindanao maintains that externally provided processes, products, and services conform to requirements hence policy guidelines for outsourcing services and activities within the institution is primordial. The policy ensures that outsourcing aligns with the institution's mission, values, and strategic needs, while maintaining high standards of quality, compliance, and accountability.

Scope

This policy applies to all departments, offices and administrative units that wish to outsource any non-core functions, products or services.

Guiding Principles

Purchase and supplier contract. The Purchasing office provides the supplier with purchasing information that precisely defines the product or services.

Direct control. The institution establishes direct control over the processes, procedures and work instructions of the supplier and integrates these with the processes performed by the institution.

Opportunities to Increase Value. Heads of offices and the purchasing officer are encouraged to identify various opportunities to increase value through establishing relationships and through working with suppliers.

Supplier Selection and Evaluation. The institution selects suppliers based on their ability to provide products and services according to the institution's requirements. The extent to which the selection, evaluation and re-evaluation of suppliers depend on the significant impact that their products and services have on the institution's products and services or the efficiency of processes.

Supplier Maintenance. The Purchasing Office maintains a pool of pertinent established suppliers. While the institution generally does not dictate the business units which suppliers to use, the Purchasing Officer is encouraged to communicate the good and unsatisfactory supplier performance, as well as discounted pricing throughout the institution.

Inspection of Purchases. The Property Custodian as the authorized officer to receive all purchased goods and shall inspect every or randomly purchased product and services to verify that it meets the specified purchase requirements.

Compliance

Compliance with this policy is mandatory. Non-adherence may result to issuance of corrective action as per the university regulations with reference to quality system manual 8.4.

Implementation and Review

The Policy on Control of Outsourced Processes, Products, and Services shall be regularly reviewed and updated following the OPM 32.01. The review shall be spearheaded by the Quality Management Office in coordination with the Purchasing Office.

Signed:

(Sgd) GUILLERMO P. TORRES, JR.
University President

Reference

ISO 9001:2015 (Clause 8.4)

QSM 8.4 Control of Externally Provided Processes, Products and Services; Effective November 3, 2016; Rev. 2